Karnal

The only one of the three that is a build, not a takeover. Fifteen years on India's busiest national highway, a signed sub-lease, a long rent-free construction window — and the only project in the portfolio with assets a lender can take a charge over.

Sub-lease with A4A Highway Nest LLP · NH-1 Milestone 109, Gharaunda · 15-year term
Minimum guarantee ₹2–3 lakh a month from opening · Phase 1 build-out ₹4.00 Cr · opening ~September 2027

PROJECT COST

₹4.00 Cr

Phase 1 build-out, as committed in the investor deck

PROJECT IRR

19.5%

Payback 5.1 years

MINIMUM DSCR

1.48×

Comfortably above the 1.30× bank floor

FIRST FULL YEAR EBITDA

₹0.73 Cr

22.3% on ₹3.25 Cr

01 The project

Karnal replicates the Delhi–Meerut Expressway format on a busier corridor. DME proved the highway-stopover model works and exposed exactly where it fails — indoor-only product against a fixed common-area charge. Karnal is built with the outdoor activity stack from day one.

Term	Position
Site	NH-1 Milestone 109, Gharaunda, Karnal (Delhi-Amritsar highway)
Counterparty	Sub-lease with A4A Highway Nest LLP — a private sub-lease, not a government concession
Term	15 years · minimum guarantee ₹2–3 lakh a month from opening
Build	12 months · opening September 2027 · long rent-free build period
Asset position	**E-O-D owns the activity equipment, fit-out and fixtures — a lender can hypothecate them**

VERDICT

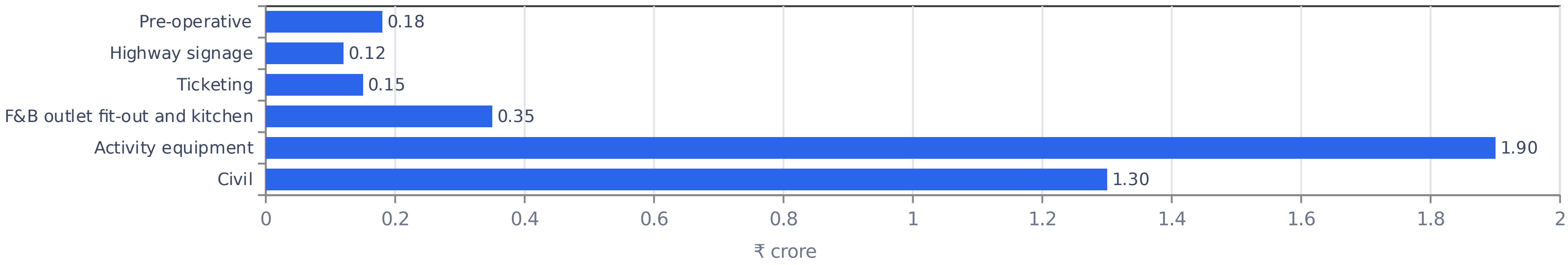
The strongest of the three — and one fact to settle first

No auction, no authority tariff control, no mandated manpower floor, no restoration obligation over somebody else's bronze statue — and real assets that can secure the facility funding them.

But: index.html records ~22,000 sq ft where financials.html reads ~6 acres. The footprint drives the revenue ceiling. Confirm it against the executed sub-lease before any drawdown.

02 Project cost

Unlike the two concessions, every rupee here is capital. There is no revolving working-capital component to separate out — the money buys assets that stay bought.



PROJECT COST

₹4.00 Cr

As committed in the ₹10 Cr investor deck

PROMOTER CONTRIBUTION

₹1.00 Cr

25% margin — the standard bank requirement

TERM LOAN SOUGHT

₹3.00 Cr

Against the assets financed

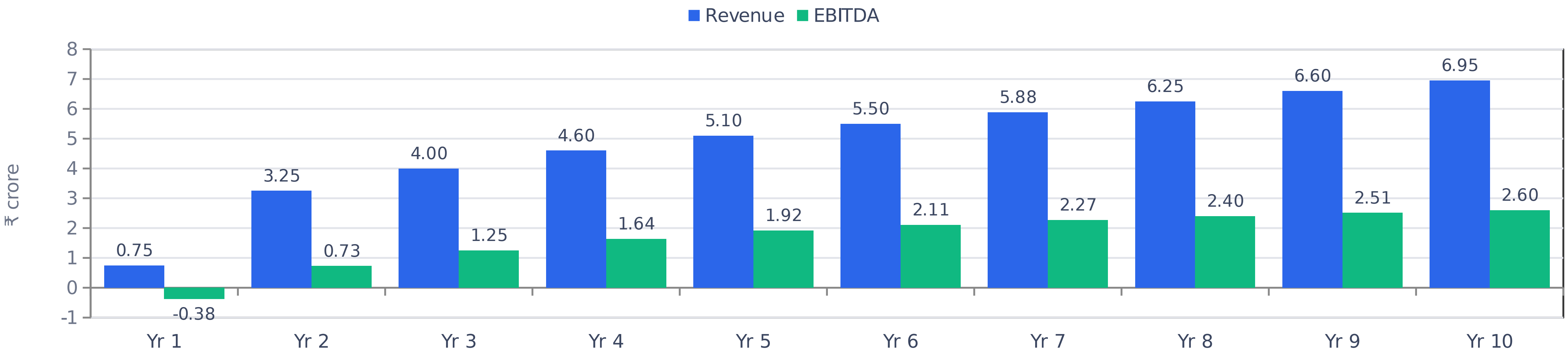
NOTE

This is already funded in the existing plan — the question is how

The round earmarks ₹4 crore for Karnal. On these numbers that is not the cheapest way: the project earns 19.5% against 12.50% guaranteed debt. Debt-funding it frees that ₹4 crore for the parks with no debt route.

03 Ten-year projection

Revenue follows the range published in the company financial model: ₹0.50–1.00 crore in the FY27-28 stub half-year, ₹3.00–4.00 crore in the first full year. Midpoints used throughout.



FIRST FULL YEAR

₹3.25 Cr

22.3% EBITDA margin

MARGIN AT YEAR 5

37.7%

Against 21.6% at GGV and 20.3% at Ramayan Vatika in the same year

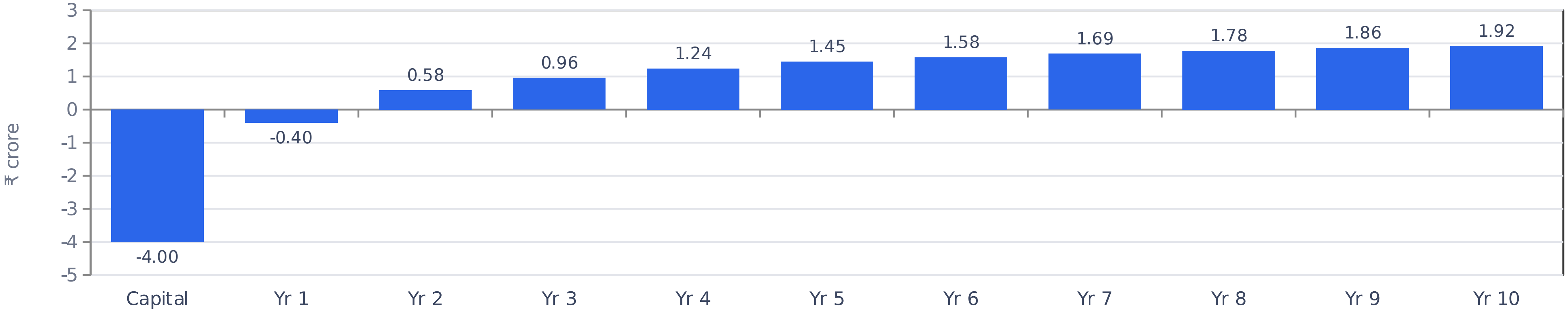
YEAR 10 EBITDA

₹2.60 Cr

Five sub-lease years still to run beyond the model

04 Project returns

Unlevered free cash flow to the project. Capital deployed is the true project cost — the revolving opex facility is financing, not project cost, so it is excluded here.



PROJECT IRR

19.5%

Unlevered, no extension value

PAYBACK

5.1 yrs

From first deployment

ALL-IN COST OF CGTMSE DEBT

12.50%

Interest plus guarantee fee

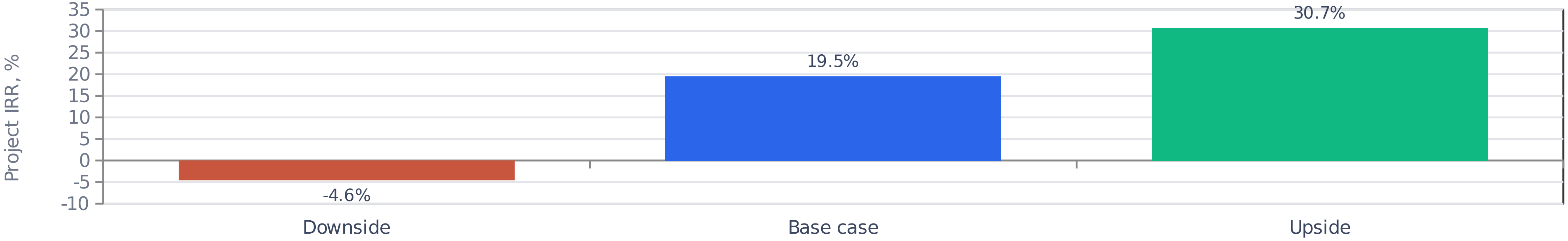
SPREAD OVER DEBT

+7.0 pp

The closest of the three to clearing an equity hurdle

05 Scenarios

The revenue range in the company financial model is ₹3–4 crore for the first full year. Base is the midpoint; downside sits below the published floor.



	Downside	Base case	Upside
Year 1 EBITDA	₹-0.64 Cr	₹-0.38 Cr	₹-0.21 Cr
Stabilised revenue	₹3.83 Cr	₹5.10 Cr	₹6.12 Cr
Stabilised EBITDA margin	14.3%	37.7%	47.9%
Payback	**Not within term**	**5.1 yrs**	**3.9 yrs**

VERDICT

Even the downside services its debt

At 25% below base — under the floor of the published range — the project still reaches ₹0.55 Cr of stabilised EBITDA. A project with its own assets flexes its cost base; one renting somebody else's cannot.

06 Option A · Equity

How Karnal is funded in the existing plan — ₹4 crore of the ₹10 crore round. Shown at project level so it compares like for like against the other two instruments.

Term	Structure
Capital — ₹4.00 Cr of build cost plus ₹0.38 Cr for the year-1 ramp	₹4.38 Cr
Stake offered	45%
Distributions from year 3	₹2.61 Cr
Exit	End of year 6 at ₹9.03 Cr
Investor IRR	**8.2%**
Stake needed to clear a 22% hurdle	**84%**

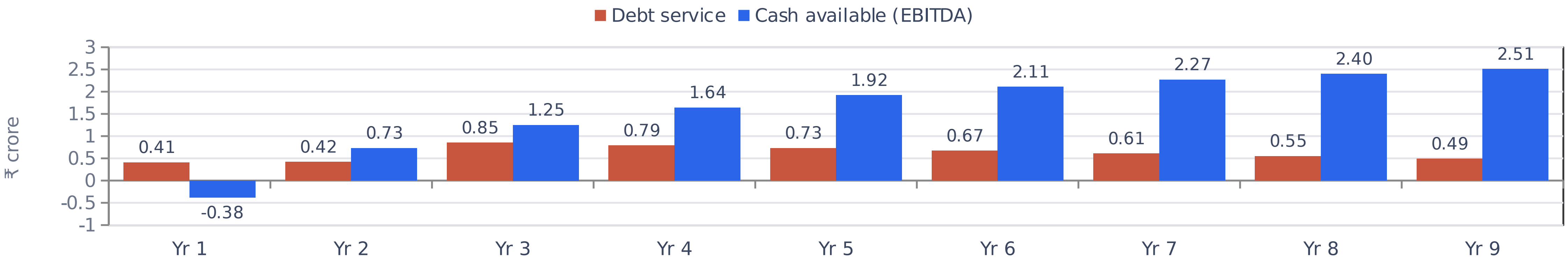
VERDICT

Better than the concessions, still short of a hurdle

At 45% the investor earns 8.2% — the best of the three project-level equity cases in this pack, and still well short of 22%. The reason is structural: a single park generating ₹2–2.6 crore of mature EBITDA cannot carry both a venture return on ₹4 crore and an operator's margin. Equity works at portfolio level, where one round backs five parks and a brand. It does not work one park at a time — which is an argument about where the equity sits, not whether to raise it.

07 Option B · Debt under CGTMSE

A conventional CGTMSE term loan against assets the borrower owns, with a promoter margin and a construction moratorium. Of the three projects, this is the one a credit committee will recognise immediately.



TOTAL FACILITY

₹3.50 Cr

Term loan ₹3.00 Cr + working capital ₹0.50 Cr

ALL-IN RATE

11.50% + 1.00%

Interest plus annual guarantee fee

MINIMUM DSCR

1.48×

After the 2-year moratorium. Banks underwrite to 1.30×

DEBT CAPACITY

₹4.01 Cr

Most the project services at a 1.3× floor

VERDICT

The cleanest credit in the pack

A signed fifteen-year sub-lease, assets the bank can hypothecate, a 2-year moratorium covering construction and ramp, and DSCR at 1.48×. Bank this one first — the sanction establishes the CGTMSE record the two concession facilities will need.

08 Option C · Debt converted to equity

Debt with a fixed conversion date. The instrument that most closely matches a build-and-ramp project: no dilution while the site is under construction, conversion once it is trading.

Term	Structure
Principal	₹4.38 Cr
Coupon, annual until conversion	9.0%
Conversion — one full year after opening	End of year 3, into 38%
Coupon paid to conversion	₹1.18 Cr
Investor IRR	**7.5%**

VERDICT

The coupon lands in the wrong years

Years 1 to 3 are construction and ramp — the project loses ₹0.38 Cr at EBITDA in year 1, and there is no rent-free relief on a debenture coupon. ₹1.18 Cr has to come from the group while the site is being built. A CGTMSE term loan with a two-year moratorium defers the same burden for less.

If the objective is deferred dilution rather than debt capacity, a zero-coupon CCD with a conversion premium removes the cash burden — priced on the date of issue, to satisfy the FEMA formula test.

09 Which option, and why

OPTION A

Equity

8.2%

INVESTOR IRR

Capital in	₹4.38 Cr
Stake offered	45%
Money multiple	1.52×
Stake for a 22% IRR	84%

OPTION B

Debt · CGTMSE

1.48×

MINIMUM DSCR · THIS FACILITY

Facility	₹3.50 Cr
Term loan / WC	3.00 / 0.50
All-in rate	11.50% + fee
Total finance cost	₹2.52 Cr

OPTION C

Debt → equity (CCD)

7.5%

INVESTOR IRR

Principal	₹4.38 Cr
Coupon to conversion	9.0% · yr 3
Stake on conversion	38%
Money multiple	1.42×

VERDICT

Option B — and take this facility to the bank first

Karnal earns 19.5% against 12.50% guaranteed debt, covers its service at 1.48× from the first repayment year, and — uniquely in this pack — owns assets a lender can hypothecate. A ₹3.00 Cr term loan with ₹1.00 Cr of promoter margin funds the whole build for ₹2.52 Cr of total finance cost, against giving away 45% of a park generating ₹2.60 Cr of EBITDA by year 10. The wider consequence matters more: funding Karnal with debt releases the ₹4 crore earmarked for it in the equity round, and that capital has no debt alternative at the two concessions.

10 Risks and open items

Footprint unconfirmed

index.html records ~22,000 sq ft; the Karnal assumption block in financials.html reads ~6 acres. The two are not reconcilable and the footprint drives the revenue ceiling. Read the executed sub-lease before any drawdown.

Counterparty concentration

A single private sub-lessor holds the head lease. Its default or loss of tenure ends the project. Confirm the head-lease tenure exceeds the sub-lease; seek a direct agreement or step-in right.

Construction and opening slippage

A twelve-month build to a September 2027 opening. Slipping past the summer pushes a full peak quarter into the next year. The two-year moratorium absorbs a season; contract the build with liquidated damages.

Minimum guarantee in a weak year

₹2–3 lakh a month is payable whether or not anyone stops — the same mechanism that produced DME's ₹29.9 lakh fixed-CAM loss. Negotiate MG against a revenue share, whichever is higher.

First-full-year revenue

₹3.25 Cr in the first full year is a projection for an unbuilt park. DME's first year was ₹25 lakh. Karnal opens with the outdoor stack DME lacked, on a busier corridor.

Rent-free period undefined

Described as “long” without a duration. This model assumes no rent until opening. Confirm whether it is tied to commissioning or to a fixed date.